

Bansal Wire Industries Limited

Company Overview:

Bansal Wire Industries Ltd is a stainless-steel wire manufacturing company. It operates in three main segments, i.e., high carbon steel wire, mild steel wire (low carbon steel wire) and stainless-steel wire. Along with its subsidiary, Bansal Steel and Power Ltd, it offers over 3,000 SKUs and serves to more than 5,000 customers across various sectors including power & transmission, agriculture, poultry, construction and automobile. The company has presence across India and operates in several countries, with 14 global representatives, covering countries like Bangladesh, Brazil, France, Germany, Israel and USA through product exports thus solidifying its position as a key player in the international market.

Key Highlights:

1. Established player along with strong brand equity: Bansal Wires Ltd is the stainless-steel wire and steel wire manufacturing company in India, representing 20% and approximately 4% market share as of Mar'23, respectively, with revenue of Rs 2,444.7 cr as of FY24. It derives numerous benefits from its brand equity including its ability to secure raw material at competitive costs, recruit and retain skilled employees, increase its customer count through high referral rate, high customer retention rate and ability to attract diversified companies as customers.

2. Diversified customer base: The company has a customer base exceeding 5,000 customers across various industries including automotive, cables, fencing, infrastructure and agriculture. Only 2 of the customers contributed to more than 5% of the company's sales and no individual sector or segment constituted more than 25% of the company's sales in FY22, FY23 and FY24, which is a testament to the company's diverse customer base.

3. Varied Product Portfolio: The company has a diverse product portfolio with over 3,000 SKUs across the steel wire industry with good mix of high volume and better margin products, and are backed by the global certifications and accreditations awarded to them. The company keeps on adding new SKUs as per the customer's requirement offering customized solutions. The company launched 27 new products during FY24.

4. Robust manufacturing facilities: The company has an installed capacity of 2,59,000 MTPA of mild steel, high carbon and stainless-steel wires at its existing four manufacturing facilities (3 in Ghaziabad UP and 1 Bahadurgarh, Haryana), located in National Capital Region (NCR) which includes the manufacturing facility of BSPL, company's subsidiary, located at Bahadurgarh, Haryana. All its existing facilities are operating at their optimum capacity utilization. Additionally, the company is also in the process of setting up a manufacturing facility which spreads across 32 acres at Dadri which will be one of the largest in Asia and largest steel wire plant in India with an installed capacity of 3,46,000 metric tonnes per annum (MTPA).

Valuation: The company is valued at FY24 annualised EV/EBITDA multiple of 27.3x based on the upper price band on the post-issue capital. The company delivered robust revenue CAGR of 20.3% for FY18-FY23. It offers a comprehensive product suite of 3,000+ SKUs across different wire categories with good mix of high volume and better margin products. The company is setting up India's largest manufacturing plant in Dadri with total steel wire capacity of 3,46,000 mtpa and will commence operations in phases with the entire capacity to be installed by mid of FY26. The company is raising funds through fresh issue to meet working capital requirements and repayment of borrowings.

Issue Details

Date of Opening	3 rd July 2024
Date of Closing	5 th July 2024
Price Band (Rs)	243 – 256
OFS	-
Fresh Issue (Rs cr)	745
Issue Size (Rs cr)	745 @ Upper Price Band
No. of shares	3,60,41,436 - 3,44,84,563
Face Value (Rs)	5
Post Issue Market Cap (Rs cr)	3,842 – 4,008
BRLMs	SBI Capital, Dam Capital Advisors
Registrar	Kfin Technologies Ltd
Bid Lot	58 shares and in multiple thereof
QIB shares	50%
Retail shares	35%
NIB shares	15%

Objects of Issue

	Estimated utilization from net proceeds (Rs cr)
Repayment or prepayment of all or a portion of certain outstanding borrowings	452.7
Investment in Subsidiary for repayment or prepayment of all or a portion of certain of its outstanding borrowings	93.7
Funding the working capital requirements of our Company	60.0
General corporate purposes*	-
Total proceeds from fresh issue*	-

**To be finalized upon determination of the Issue Price and updated in the Prospectus prior to filing with the RoC. The amount utilised for general corporate purposes shall not exceed 25% of the Gross Proceeds of the Issue, in accordance with the SEBI ICDR Regulations.*

Shareholding Pattern

Pre-Issue	No. of Shares	%
Promoter & Promoter Group	12,20,71,390	95.8
Public & Others	53,83,000	4.2
Total	12,74,54,390	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	12,20,71,390	77.2
Public & Others	3,60,41,436	22.8
Total	15,81,12,826	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	12,20,71,390	78.0
Public & Others	3,44,84,563	22.0
Total	15,65,55,953	100.0

Source: RHP, SSL Research

Key Financials

	FY22	FY23	FY24
Revenue from operation (Rs cr)	2,198	2,413	2,466
EBITDA (Rs cr)	106	105	144
Adj. PAT (Rs cr)	57	60	73
EBITDA Margin (%)	4.8	4.4	5.9
Adj. PAT Margin (%)	2.6	2.5	2.9
Adj. EPS	4.5	4.7	6.2
ROE (%)	25.7	21.2	18.7
ROCE (%)	16.5	15.0	12.3
Total Debt / Equity (x)	1.9	1.5	1.6

Source: RHP, SSL Research

Risk Factors

- **Disruption in supply of raw material:** The company relies on its top 10 suppliers of the raw material and work-in-progress goods used in its manufacturing processes. Any shortages, delay or disruption in the supply of the raw materials may have a material adverse effect on its business, financial condition, results of operations and cash flows.
- **Volatility in costs of raw materials:** The costs of raw materials that the company uses in its manufacturing process are subject to volatility and any increases or fluctuations in raw material prices, may have a material adverse effect on its business operations.
- **Downturn in steel wires market:** The company is dependent on the performance of the steel wires market and any adverse changes in the condition affecting the steel wires market can adversely impact its business, financial condition and prospects.
- **Changes in arrangements with global representatives:** The company's distribution to the overseas market is dependent on 14 of its global representatives and any significant changes to the business arrangements with these representatives may impact on its results of operations, cash flow and financial condition.

Growth Strategy

- **Expand customer base:** The company will look to expand its customer base in the already established north India market and increase penetration in other untapped geographies i.e., Western, Eastern and Southern regions of India.
- **Focus on increasing exports:** Leverage the suite of globally accredited products to grow its exports business and further increase overseas presence by increasing customer base and global representatives and setting up warehouses, as and when required.
- **Expand into Retail segment:** The company is strategically looking to expand into the retail segment in the agriculture sector across India that enjoys higher profit margins with the galvanized wires products such as fencing, barbed wire, farming wire, etc. ensuring presence across both business-to-business and business-to-consumer segments.
- **Increase in margin profile by focusing on high-margin products:** The company will continue to focus on manufacturing of shaped wire in all three product streams, i.e., high carbon steel wires, mild steel wires (low carbon steel wires) and stainless-steel wires which are very high margin products and is being used in the growing sectors like automotive, power and transmission and infrastructure.

Revenue from operations – Segment wise

Revenue from Segments	FY22		FY23		FY24	
	Amount in Rs cr	% of Revenue from Operations	Amount in Rs cr	% of Revenue from Operations	Amount in Rs cr	% of Revenue from Operations
High carbon steel wires	421.2	19.2%	464.7	19.3%	545.9	22.1%
Mild steel wires (Low carbon steel Wires)	076.3	3.5%	82.2	3.4%	202.5	8.2%
Stainless steel wires	1,304.3	59.3%	1,378.3	57.1%	1,280.3	51.9%
Others (includes trading sales and other miscellaneous sales)	396.5	18.0%	487.8	20.2%	437.3	17.7%
Total	2,198.4	100.0	2,413.0	100.0	2,466.0	100.0

Revenue from operations – Geography wise

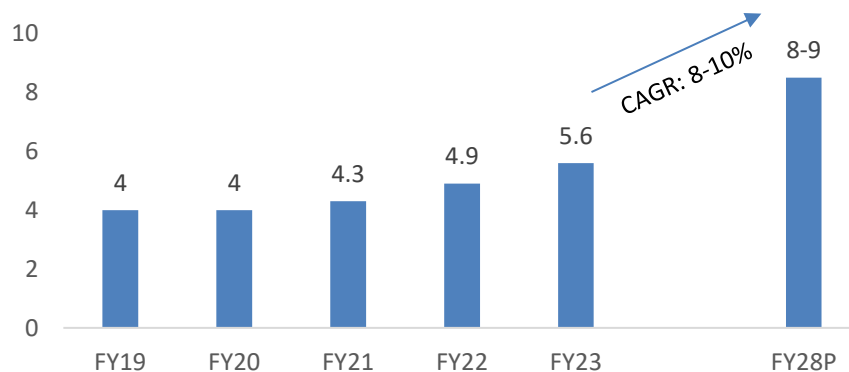
Revenue from Segments	FY22		FY23		FY24	
	Amount in Rs cr	% of Total Revenue	Amount in Rs cr	% of Total Revenue	Amount in Rs cr	% of Total Revenue
Domestic	1,833.0	83.4%	2,053.9	85.1%	2,182.1	88.5%
Exports	365.3	16.6%	359.1	14.9%	283.9	11.5%
Total Revenue	2,198.4	100.0	2,413.0	100.0	2,466.0	100.0

Industry Overview

Indian Steel Wires Industry

India produced 7.4 Million Tonnes (MT) of wire rods in fiscal 2023, registering an 8.6% compound annual growth rate during FY19-23. Out of the 7.4 MT of wire rods, around 5.6 million Tonnes of wires was consumed during the FY23. The demand for wires registered 6.9% CAGR between FY19-23, growing to 5.6 MT, driven by an uptick in infrastructure development activities across the country and growing production in the automobile industry. Demand is expected to log 8-10% CAGR between FY23-28, growing to 8-9 Million Tonnes, due to increasing budget allocation of central and state governments for infrastructure development and expansion of the automobile industry.

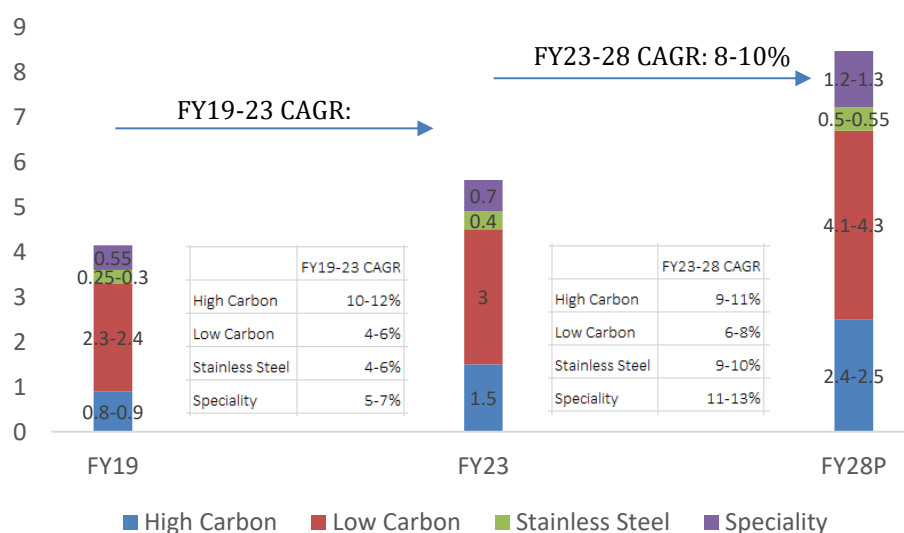
Wires demand review and outlook (MT)



Source: RHP, SSL Research

Steel wires demand trend by type of wire

Steel wires are classified as low carbon, high carbon, stainless steel and speciality. Only carbon steel wires account for more than 85% of the demand. The demand from infrastructure, a major end-user industry for high-carbon wires, increased in FY23, resulting in a 27% share of high-carbon wires, up from 21-22% in FY19. Demand growth for high carbon wires was also aided by additional demand from the automotive sector. The major application industries' sustained demand growth is anticipated to fuel an additional increase in the share of high carbon wires to 29-30%. Conversely, the construction industry, a major end-user of low carbon wires, is expected to grow more slowly, which will cause the share of low carbon wires to decrease from 54% in FY23 to about 50% in FY28. Over the next five years between FY23 and FY28, speciality wire demand is predicted to grow at a healthy rate of 11-13%, mostly due to the expanding automotive industry and investments in infrastructure segment.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY22	FY23	FY24
Revenue from Operations	2,198	2,413	2,466
% YoY growth	-	9.8%	2.2%
Cost of Revenues (incl Stock Adj)	1,761	1,981	1,982
Gross Profit	437	432	484
Gross margins (%)	19.9%	17.9%	19.6%
Employee Cost	47	60	74
Other Operating Expenses	284	267	266
EBITDA	106	105	144
EBITDA margin (%)	4.8%	4.4%	5.9%
Other Income	7	10	5
Net Interest Exp.	27	24	29
Depreciation	8	9	13
Exceptional Items	0	0	3
PBT	78	82	110
Tax	21	22	31
Adj PAT	57	60	76
Adj. PAT margin (%)	2.6%	2.5%	3.1%
Adj. EPS	4.5	4.7	6.2

BALANCE SHEET			
(Rs cr)	FY22	FY23	FY24
Assets			
Net Block	116	116	229
Capital WIP	0	38	212
Other Non-current Assets	28	50	51
Current Assets			
Current Investment	0	23	0
Inventories	265	244	314
Trade receivables	249	252	358
Cash and Bank Balances	0	1	4
Other Current Assets	38	26	96
Total Current Assets	551	545	772
Current Liabilities & Provisions			
Trade payables	21	13	59
Other current liabilities	29	22	44
Short-term provisions	0	0	1
Total Current Liabilities	50	35	104
Net Current Assets	501	510	668
Total Assets	645	714	1,160
Liabilities			
Share Capital	9	9	64
Reserves and Surplus	214	273	359
Total Shareholders' Funds	223	283	422
Minority Interest	0	0	39
Total Debt	413	422	681
Long Term Provisions	2	3	5
Net Deferred Tax Liability	7	6	12
Total Liabilities	645	714	1,160

Cash Flow (Rs cr)	FY22	FY23	FY24
Cash flow from Operating Activities	(12)	103	(537)
Cash flow from Investing Activities	(19)	(87)	(496)
Cash flow from Financing Activities	30	(15)	1,035
Free Cash Flow	(482)	56	(1,008)

RATIOS			
	FY22	FY23	FY24
Profitability			
Return on Assets (%)	8.2	8.0	6.2
Return on Capital (%)	16.5	15.0	12.3
Return on Equity (%)	25.7	21.2	18.7
Margin Analysis			
Gross Margin (%)	19.9	17.9	19.6
EBITDA Margin (%)	4.8	4.4	5.9
Net Income Margin (%)	2.6	2.5	3.2
Short-Term Liquidity			
Current Ratio (x)	1.6	2.1	1.6
Quick Ratio (x)	0.8	1.2	1.0
Avg. Days Sales Outstanding	41	38	53
Avg. Days Payables	44	37	46
Fixed asset turnover (x)	3	2	9
Debt-service coverage (x)	19.0	20.9	10.8
Long-Term Solvency			
Total Debt / Equity (x)	1.9	1.5	1.6
Interest Coverage Ratio (x)	3.9	4.4	4.7
Valuation Ratios			
EV/EBITDA (x)	34.5	35.0	27.3
P/E (x)	57.0	54.4	41.4
P/B (x)	14.6	11.5	7.7

Source: RHP, SSL Research

Peer Comparison – FY24

	Bansal Wire Industries Ltd	Rajratan Global Wire Ltd	DP Wires Ltd	Bedmutha Industries Ltd
CMP	256.0	587.0	457.8	237.8
Sales (Rs cr)	2,466.0	890.0	1,003.0	812.0
EBITDA (Rs cr)	144.5	128.0	50.0	26.0
Net Profit (Rs cr)	75.6	72.0	36.0	21.0
M.Cap (Rs cr)	4,007.8	2,980.3	709.6	767.2
Enterprise Value (Rs cr)	4,684.5	3,170.0	642.7	972.0
EBITDA Margin (%)	5.9	14.4	5.0	3.2
Net Profit Margin (%)	3.1	8.1	3.6	2.6
PE(x)	53.0	41.4	19.7	36.5
EV/EBITDA (x)	27.3	24.8	12.9	37.4
RoE (%)	6.6	15.4	17.4	19.0
RoCE (%)	15.0	17.5	24.6	13.9

The data is based on FY24 financial data.

For Bansal Wire Limited the Market cap, PE(x), and EV/EBITDA(x) are calculated on post-issue equity share capital based on the upper price band.

CMP as on 01st July, 2024.

Source: RHP, SSL Research

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